

To varying degrees, ether, dash, litecoin, ripple, and other cryptoassets have shown similar increases in trading volume as they have matured. Many cryptoassets will enjoy significant boosts in trading volumes upon sizeable price appreciation because a rising asset catches the attention of more investors and traders. Such a pattern is easily visible in monero in [Figure 9.3](#). However, once the cryptoasset settles down into a price range, its trading volume will often settle into a new range as well. Some cryptoasset traders will then look for increases in volume as an early indicator that interest is picking up and that a move in the asset's price could be on the horizon.

Regardless of whether or not traders are right, burgeoning interest, trading volumes, and market liquidity all point to a maturing cryptoasset. If sustained, all of these are good indicators of health for the innovative investor to be aware of. If, however, the rise in trading volumes looks too steep and there is little news as to why, then that is reason to be wary. As we will cover in the next two chapters on speculation, sometimes volumes that rise too far and too fast can be a sign of manipulation or overheating markets.

REGULATORY IMPACT ON MARKET LIQUIDITY

While the innovative investor can generally expect assets with real value to mature and increase in liquidity and trading over time, external factors that impact markets can significantly